This presentation is a simulation set place in
early 2017 at 10am

Our Performance In The Past 3 Years (2013–2016)

An Executive Market Analysis

Prepared By
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Before We Begin!

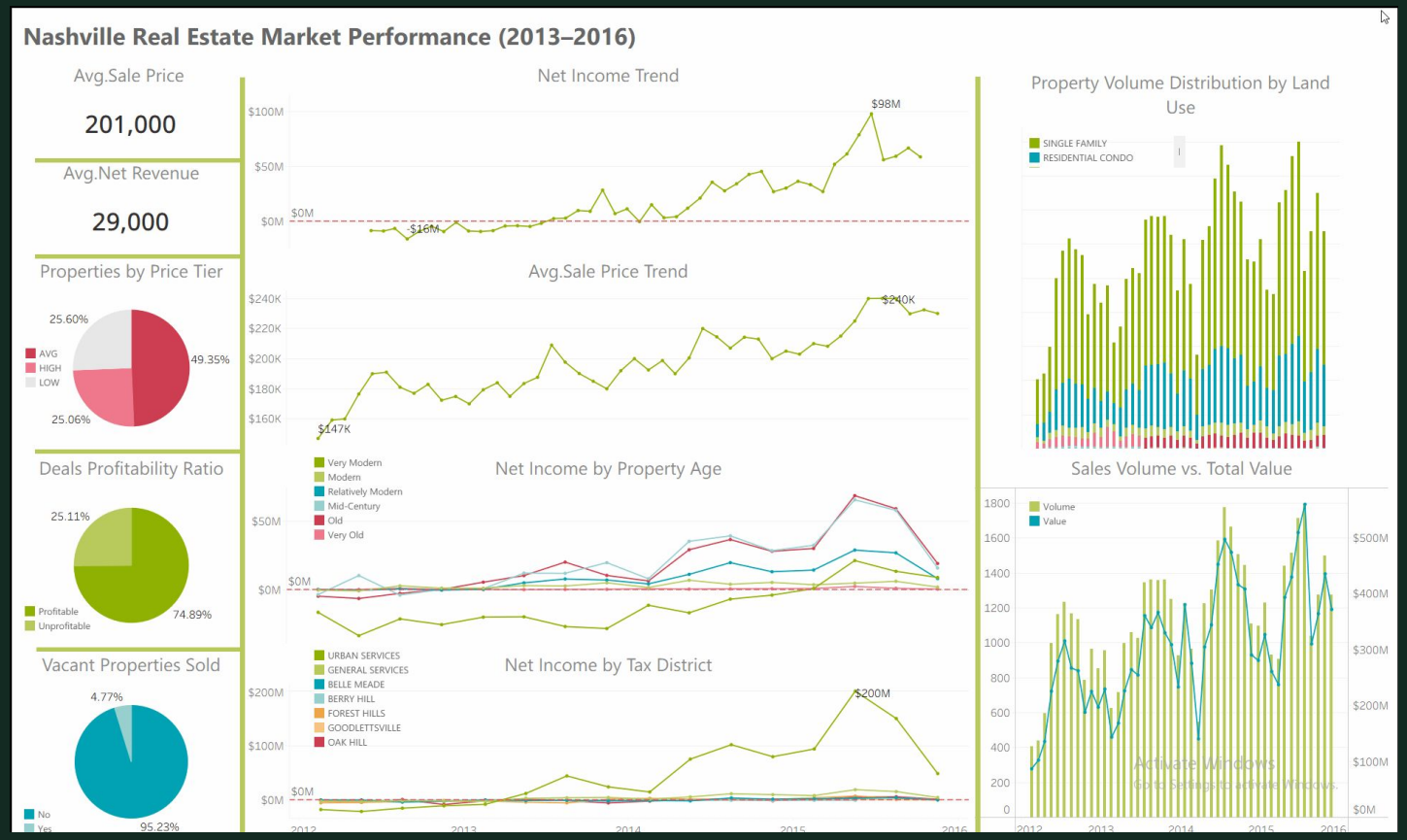


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How Was Our Performance In The Past 3 Years?

- What structural factors drove initial severe losses, and what catalyzed the profit expansion?
- Did population rapid growth drive the boom?
- The severe Financial Drag of Vacant Land.
- The bleeding of newly constructed properties (post-2009).
- Residential families drive the market boom.

02

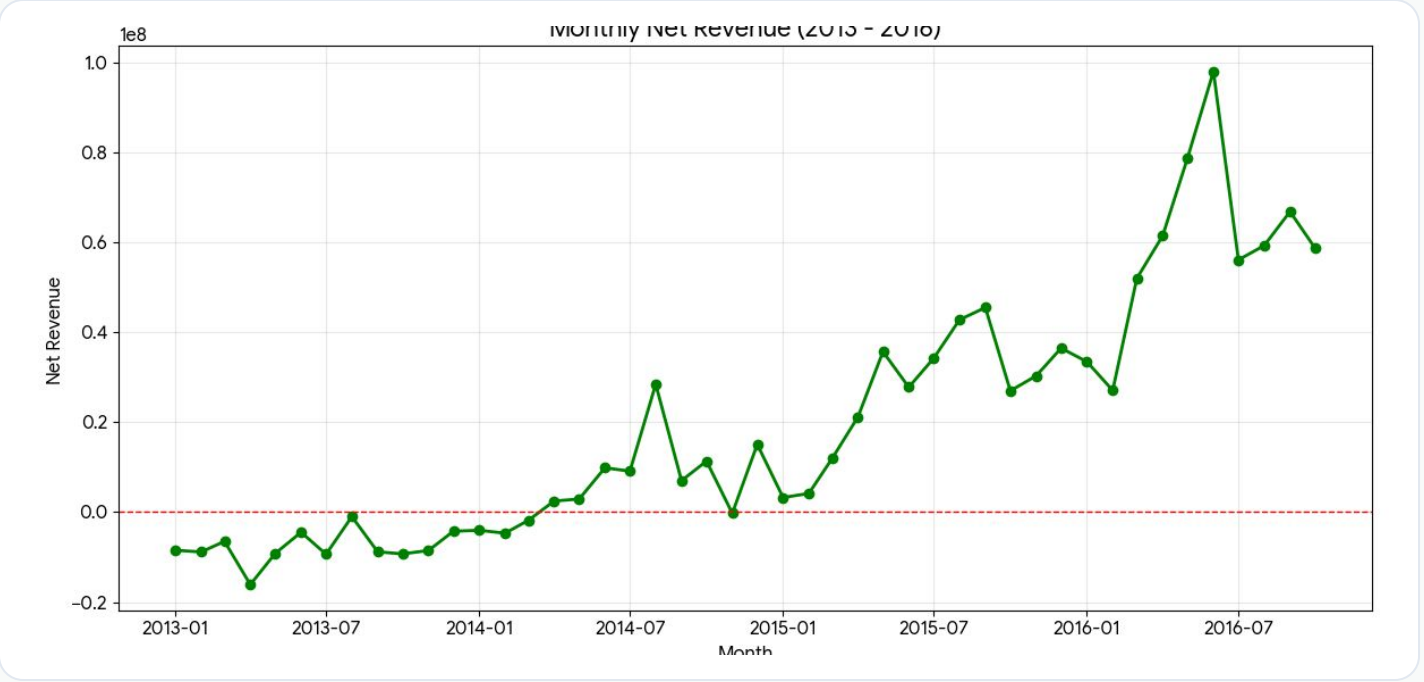
What Is The Best Time To Make A Deal?

- Market Seasonality: The Summer Relocation Peak.

03

Urban Services Scale vs Luxury

How Was Our Performance In The Past 3 Years?



Key Takeaways

Turnaround to High Growth

- **2013 Deficit:** Operations started in a net negative trajectory, reaching a trough near -$16M.
- **2014 Stabilization:** Strategic course correction eliminated losses and achieved break-even status.
- **2015–2016 Expansion:** Exponential monthly revenue growth peaked near $100M per month.

2013 • Early Deficit

-$16M

Initial operating drag and early stage market deficit.

2014 • Transition

Break-Even

Operational pivot point and loss mitigation phase.

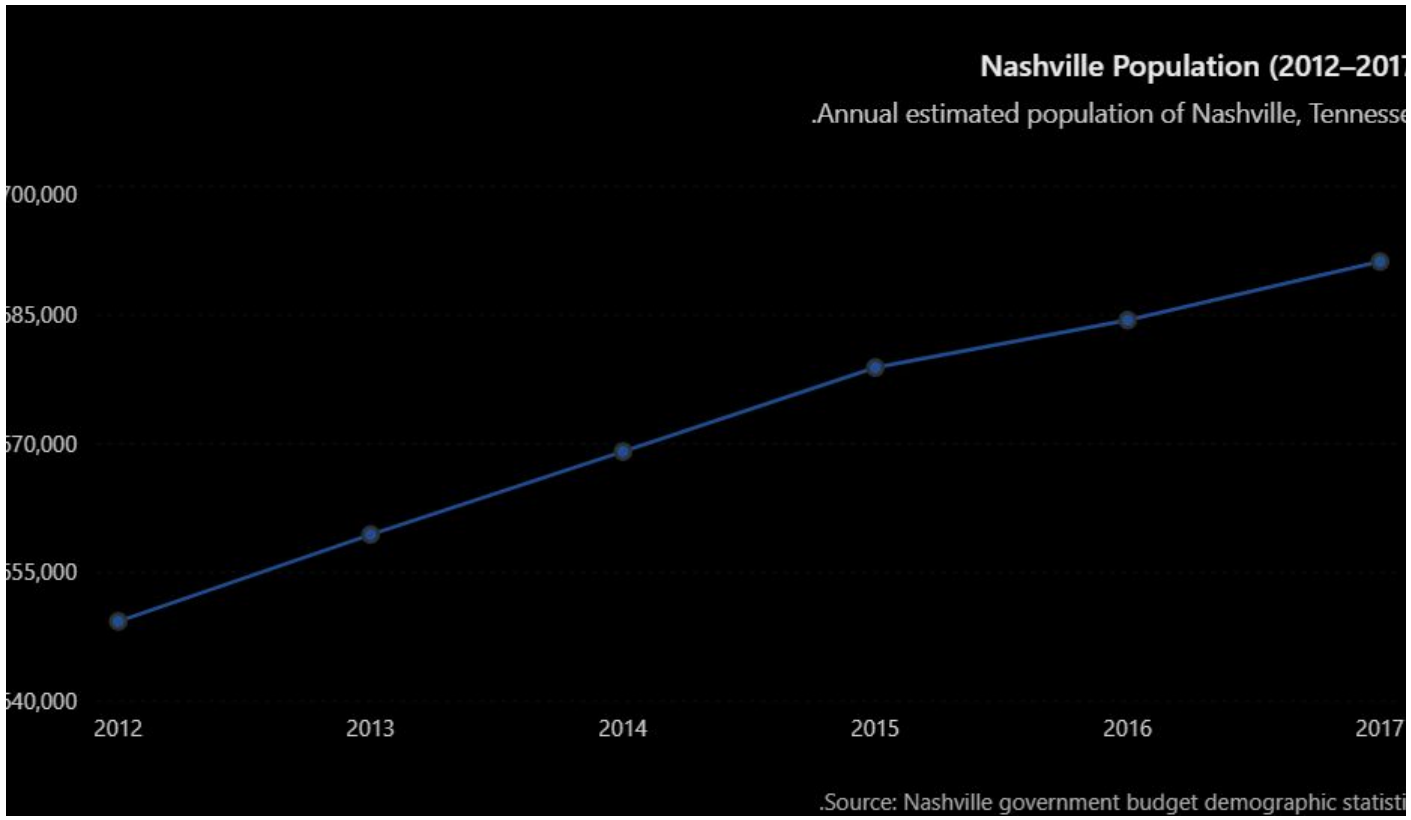
2015–2016 • Surge

+$98M

Massive profit expansion driven by scale & demand.

How Was Our Performance In The Past 3 Years?

Population Rapid Growth Hypothesis



5-Year Total Growth

+6.5%

Net gain of 41,925 people

KEY FINDING

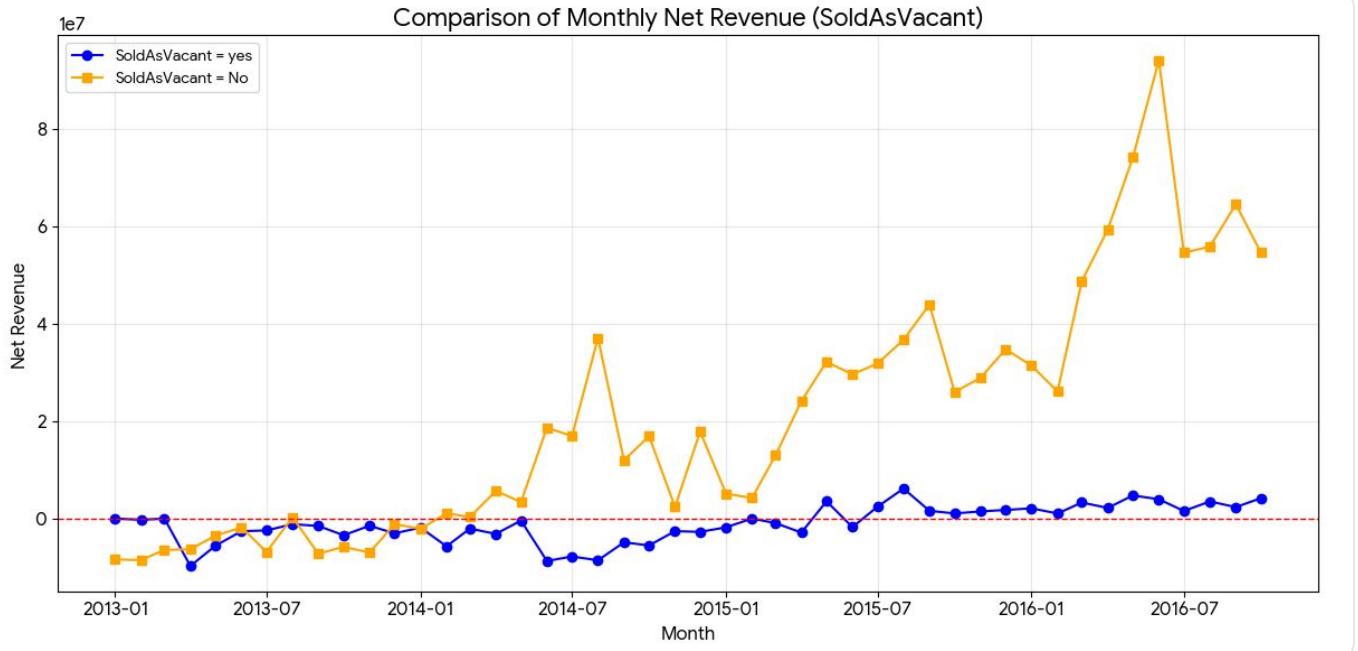
Hypothesis Disproven

Steady, incremental population growth (+6.5%) fails to explain our dramatic performance shifts over the 3-year period.

There is no Correlation — Population growth was linear while revenue experienced extreme variance.

How Was Our Performance In The Past 3 Years?

The Severe Financial Drag of Vacant Land



VACANT LAND IMPACT

Unprofitable Scale

- **Escalating Losses:** Financial drag worsened significantly in 2014 as vacant property deals nearly doubled.
- **Unit Economics:** Every closed transaction generated a substantial loss of $65,000.
- **Core Drag:** Vacant land sales represent the primary bottleneck on profitability.

2013 Performance

-$31.7M

440 vacant property deals.

2014 Performance

-$54.5M

831 vacant land sales.

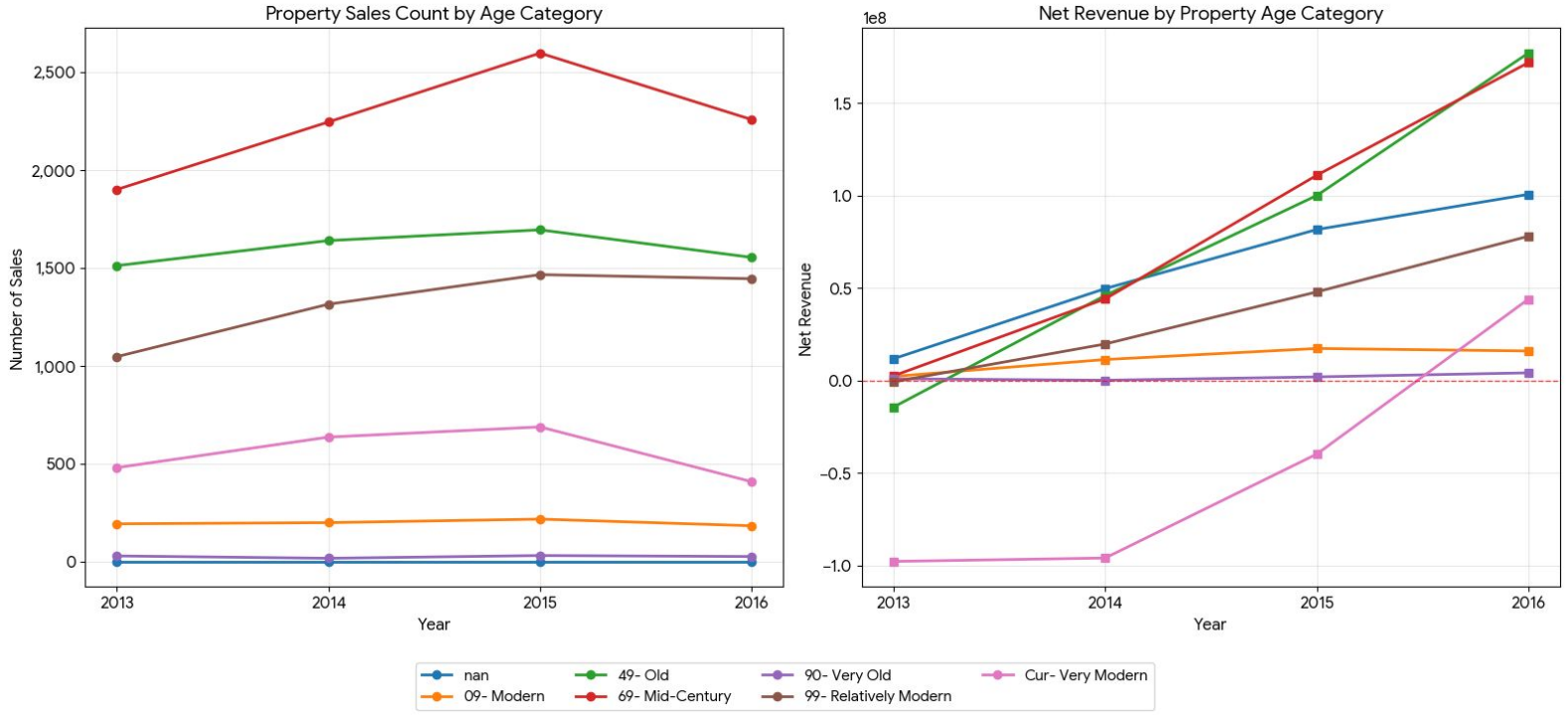
2014 Loss Per Transaction

-$65,000

on every individual lot closed.

How Was Our Performance In The Past 3 Years?

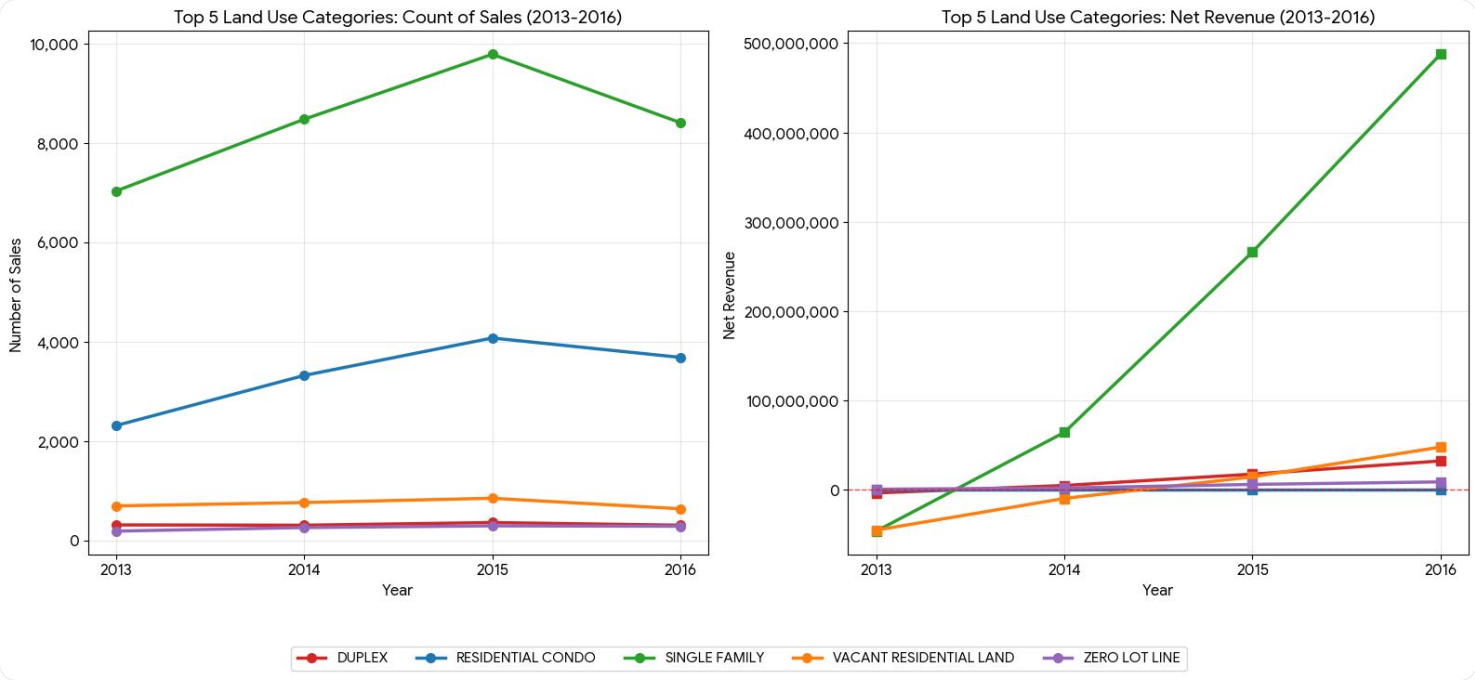
The Bleeding of Newly Constructed Properties (Post-2009)



Architectural Era	Build Year	2013–2014 Performance	2016 Performance
Very Modern	Post-2009	**-$193.6M Combined Loss**	**Rebounded to +$44M**
Mid-Century	1950 – 1969	**+$44M Profit in 2014**	Steady Positive Margins
Old Construction	1900 – 1949	**+$44M Profit in 2014**	Steady Positive Margins

How Was Our Performance In The Past 3 Years?

Residential Families Drive the Market Boom



2013 PERFORMANCE

-$46.1M

Initial net loss in Single Family segment.

2014 PERFORMANCE

+$64.2M

Strong turnaround into profitability.

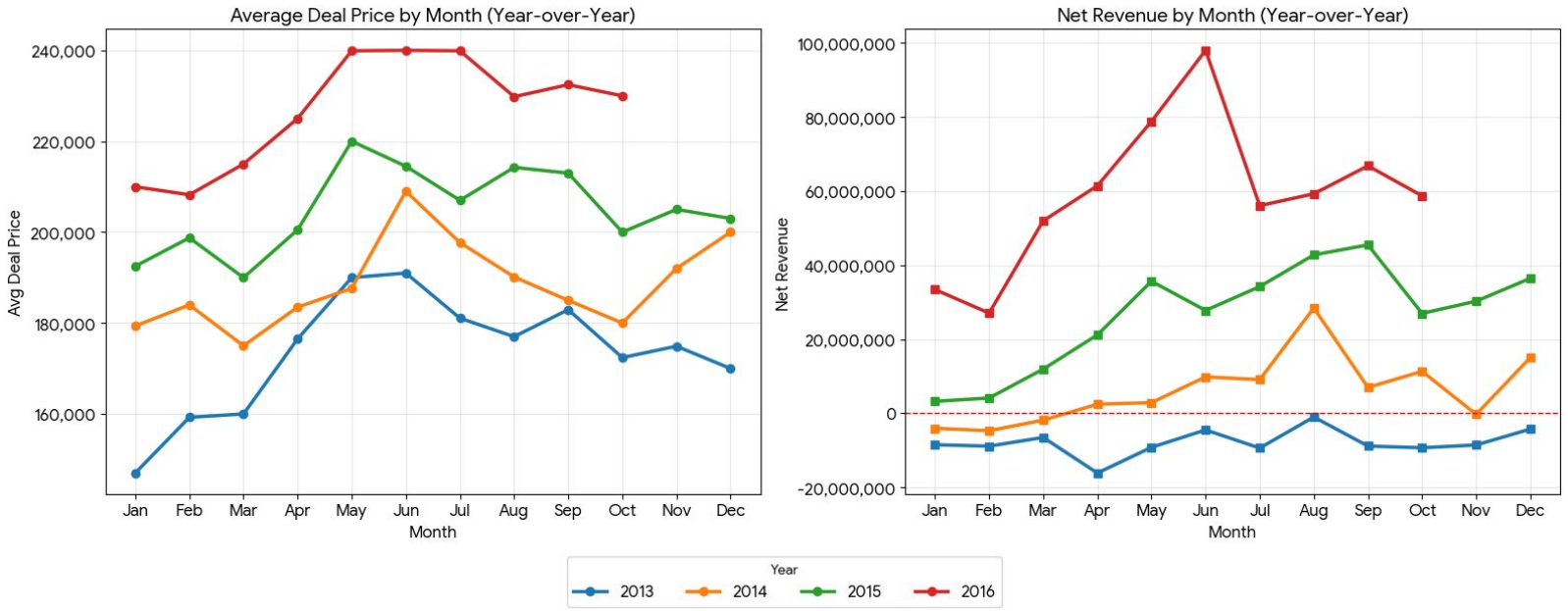
2016 PERFORMANCE

+$487.5M

Exponential surge driving market boom.

What Is The Best Time To Make A Deal?

Market Seasonality: The Summer Relocation Peak



Q1 • Jan – Mar

Market Awakening

Inventory builds up slowly as buyers re-enter post-holiday market.

PEAK • MAY – JULY

$240,000 Median

June 2016 generated an all-time record ~$100M in a single month.

TAPER • AUG – SEP

Post-School Lull

School calendar start slows buyer mobility and closing velocity.

Q4 • OCT – DEC

Winter Slowdown

Seasonal market dip; lower transaction volume across all price points.

Urban Services Scale vs Luxury

High-volume districts drive aggregate profit over low-volume luxury enclaves

Urban Services District (USD) — $492M

4,845 sales/yr at $195k avg.

The primary engine of aggregate profit across all regional tax districts.

General Services District (GSD) — $50M

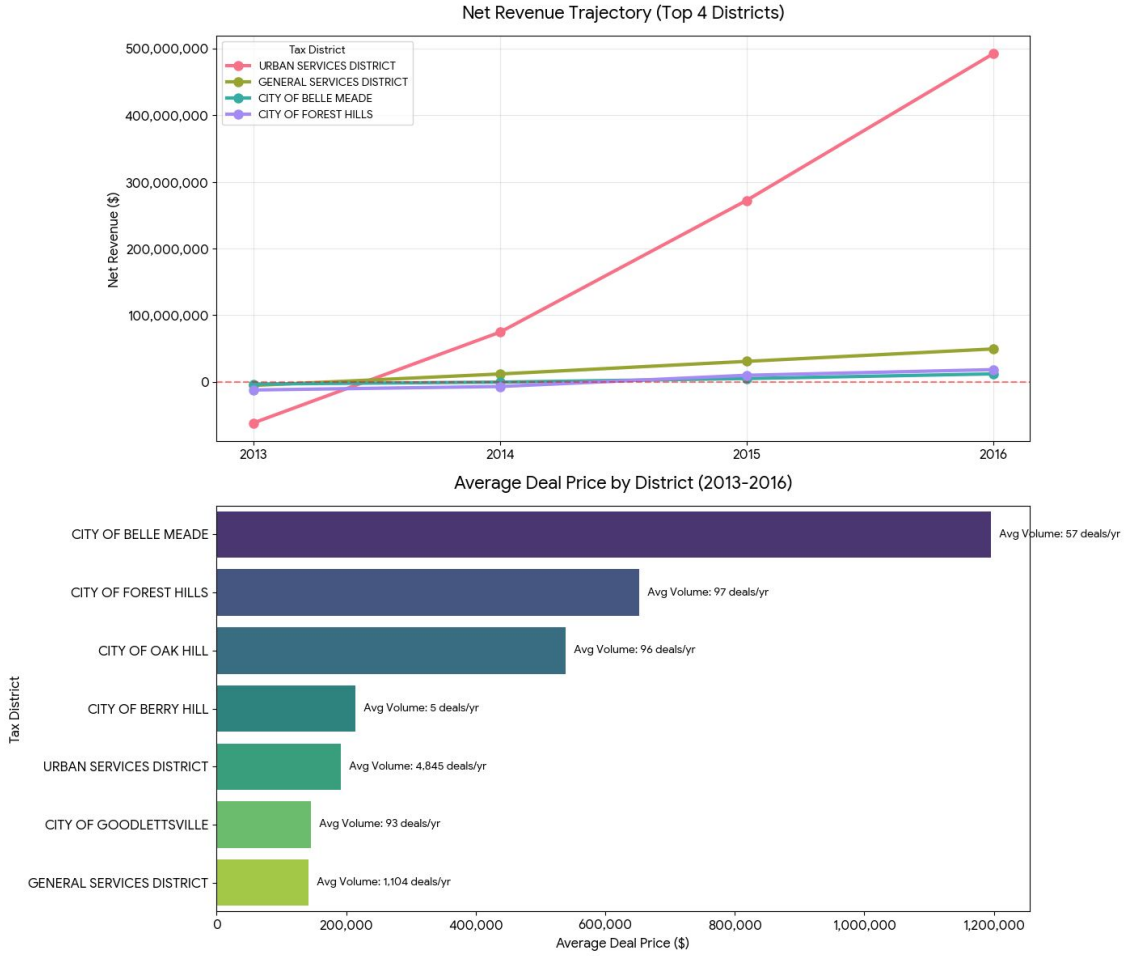
1,104 sales/yr.

Steady, predictable suburban volume providing stable baseline returns.

Belle Meade Luxury Enclave — <$5M

Top average price ($1.2M)

Low deal volume (57 deals) yielded modest aggregate profit.



Conclusion

01

Demographic Profit Shift

Demographic growth eliminated as the primary profit driver.

02

Vacant Land Drag

Vacant land deals contributed significantly to steep negative territory in early 2013.

03

Modern Property Losses

Very modern property age was the main reason for severe losses in early 2013 and 2014.

04

2015–2016 Market Boom

The main cause for the boom in 2015–2016 was single families, generating net income around half a billion dollars.

05

Primary Customer Focus

Our most important customers are single families.

06

Urban vs. Luxury Margins

Luxury properties do not generate profit margins as high as urban and low-to-medium value properties.

Recommendations

01

Prioritize Developed Single Family

Divest from speculative vacant land and concentrate capital on developed residential homes.

02

Align with Summer Seasonality

Launch peak marketing and inventory listings between April and July for family price premiums.

03

Expand in Urban Services (USD)

Focus operations in high-turnover urban residential districts where scale drives predictable volume.

04

Partner with VIP Repeat Buyers

Establish direct VIP channels with the 16 identified developer entities for bulk deal flow.

THANK YOU!

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